



BUILDING INDIA'S NEXT RETAIL NETWORK

Tier-II cities are expected to account for 30% of quick-commerce spending by 2030

THEN (2021)		NOW (2026)
3,000 DARK STORES		5,000-6,000 DARK STORES
15-20 TOP TIER CITIES		250-300 CITIES, EXPANDING TO TIER-II CITIES
MOSTLY GROCERY		GROCERY + BPC + ELECTRONICS + APPAREL, ETC
\$20-\$25 bn POTENTIAL TAM		\$60 bn POTENTIAL TAM
SPEED-LED PROPOSITION		RETAIL-LED PROPOSITION

NOTE TAM IS TOTAL ADDRESSABLE MARKET; BPC IS BEAUTY AND PERSONAL CARE **SOURCE** INDUSTRY ESTIMATES, ANALYSTS

roduced both fresh and packaged products on quick commerce, alongside a range of differentiated SKUs and digital-first brands.

“We have also acquired many new-age start-up brands over the last few years, such as Yoga Bar, Prasuma and 24 Mantra that cater to unique consumer needs

COVER STORY

QUICK COMMERCE

and are present on q-comm channels. We believe there is ample headroom for both new-age and established brands to co-exist as the quick commerce ecosystem and consumer choices continue to evolve.”

THE BATTLE FOR THE DEEPER INDIA

The next test of the model will be whether the economics that work in India's largest cities can travel beyond them.

As per a Deloitte-FICCI report, Tier-II and Tier-III cities now account for over 60% of all e-commerce transactions in India. Quick commerce is already spreading beyond the metros, and Deloitte expects Tier-II cities to account for 30% of quick-commerce spending by 2030. But the economics of that expansion are likely to look very different.

PRIVATE LABELS CAN PROVIDE PLATFORMS SOMETHING THEIR TRADITIONAL FMCG ASSORTMENT CANNOT: GREATER CONTROL OVER PRICING, MARGINS, AND CUSTOMER RELATIONSHIPS

Gupta from Flipkart Minutes says the platform's Tier-II and Tier-III business has grown 42X over the past year as it expanded into more than 90 new cities. The company says value, assortment and availability become particularly important in these markets, where larger baskets and convenience are emerging as key drivers.

Ramanathan sees the growth of food delivery infrastructure and greater scale in private labels as factors that could make smaller cities more viable. “As food delivery grows in Tier-II, quick commerce will also grow because a lot of the infrastructure learnings are a function of how food delivery grows,” he says.

But he cautions that Tier-II will remain an investment for some time. “For e-commerce platforms, their existing scale, customer base, and supplier relationships help. But that last mile of having a dark store close to the customer, keeping exactly the right product in that dark store and managing hyperlocal demand, those are tricks that are very specific to quick